

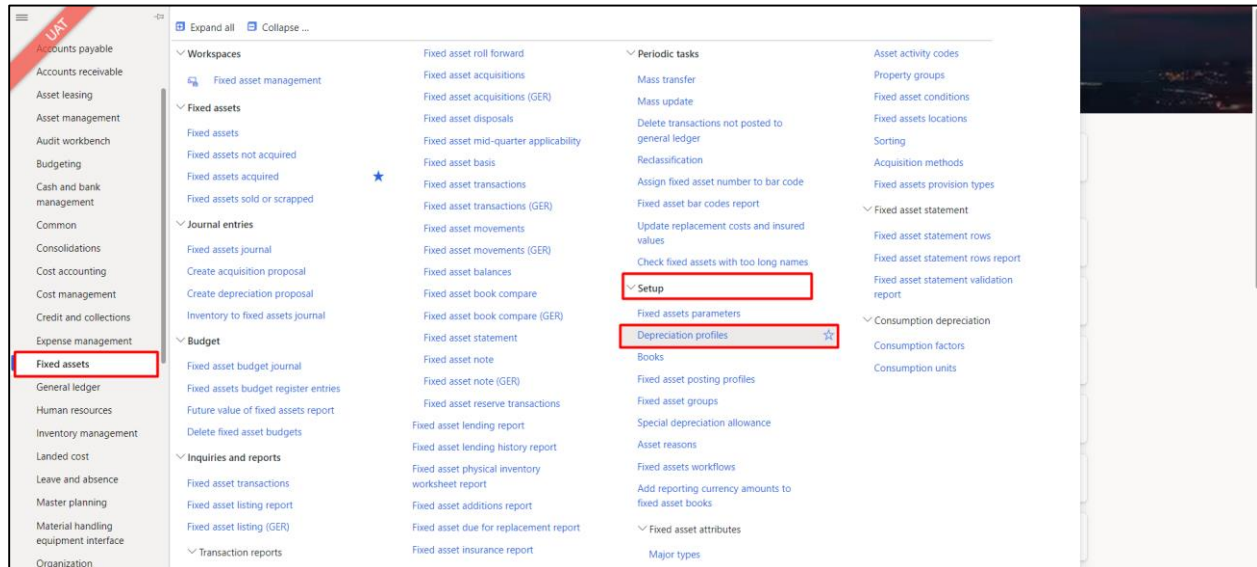
Accounting Depreciation and Tax Depreciation in D365**Use Case:**

	Accounting	Tax
Depreciation Method	Straight Line Service Life	Reducing Balance Method
Life/Rate	5 Years Life	30% Rate
Acquisition Price (Asset#2)	100,000	100,000
Acquisition Price (Asset#6)	500,000	500,000
Acquisition Date	01-July-2024	01-July-2024

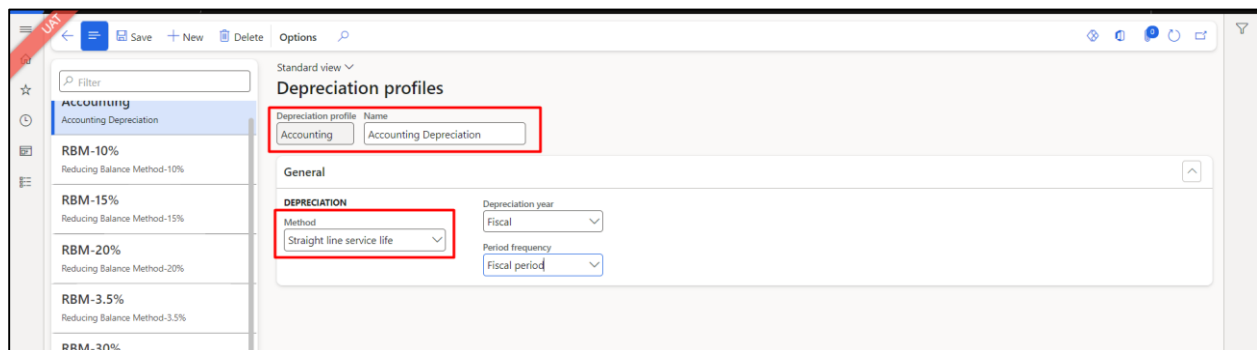
SETUPS

1- Depreciation Profile

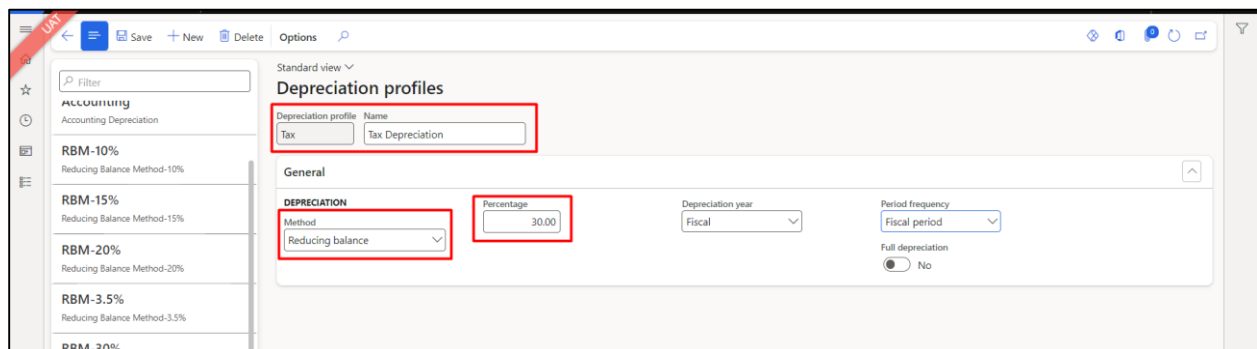
Navigate to Fixed Assets > Setup > Depreciation Profiles



Setup the Depreciation Profile for Accounting Purpose. In our case its named as **Accounting**

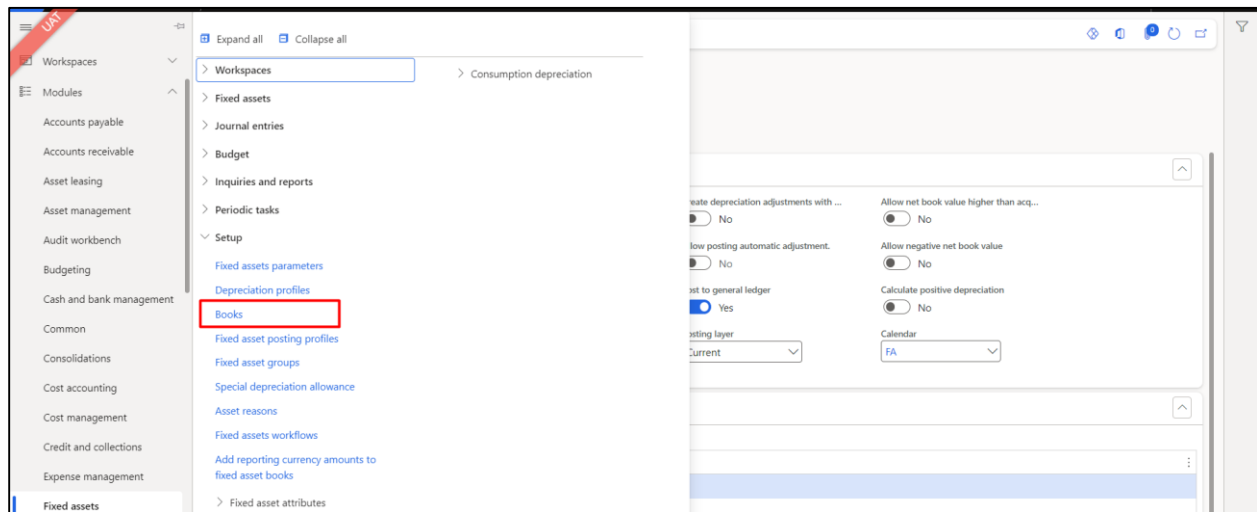


Setup the Depreciation Profile for Accounting Purpose. In our case its named as **Tax**

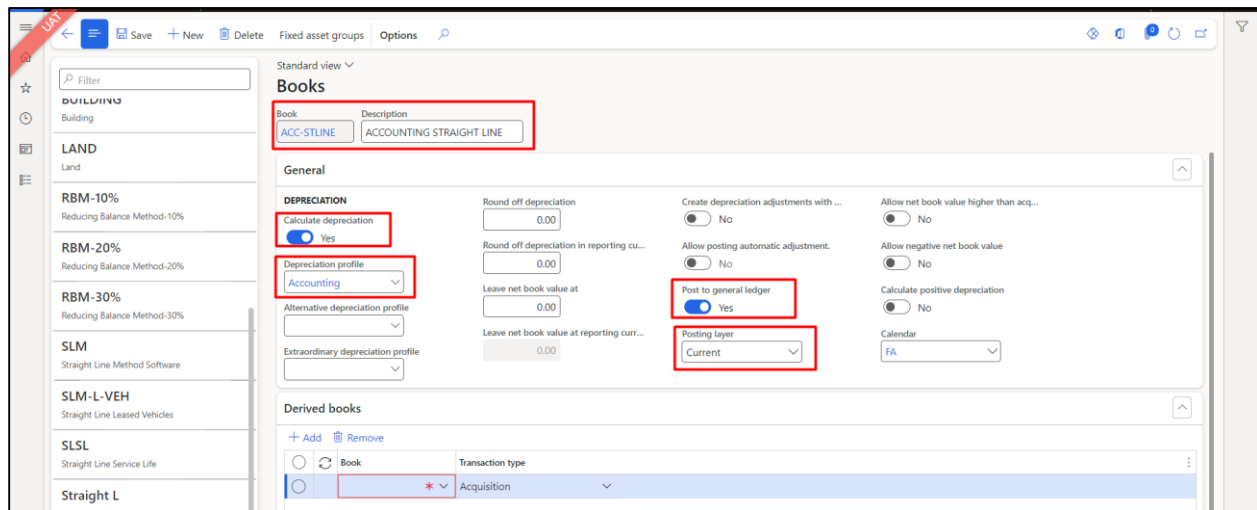


2- Books

Navigate to Fixed Assets > Setup > Books



Setup the book for Accounting purpose. In our case, it's the **ACC-STLINE**



Setup the book for Tax purpose. In our case, it's the **TAX-RED-BL** (Remember to select Posting layer as Tax)

The screenshot shows the 'Books' configuration page in Microsoft Dynamics 365. The left sidebar lists various asset types and methods, including 'ACC-STLINE', '10%-RBM', '15%-RBM', '20%-RBM', '3.5%-RBM', '30%-RBM', '5%-RBM', 'BUILDING', and 'LAND'. The main area is titled 'Books' and shows the configuration for the 'TAX-RED-BL' book. The 'General' section includes settings for depreciation, such as 'Calculate depreciation' (Yes), 'Depreciation profile' (Tax), 'Round off depreciation' (0.00), 'Round off depreciation in reporting currency' (0.00), 'Leave net book value at' (0.00), and 'Leave net book value at reporting currency' (0.00). The 'Derived books' section shows a table with columns for 'Book' and 'Transaction type', with a row for 'TAX-RED-BL' and 'Acquisition'.

IMPORTANT: We want to acquire the asset for Tax purpose automatically whenever our accounting acquisition is posted therefore define the Derived Books for Transaction type “Acquisition” in the books that was earlier created for Accounting Purpose

The screenshot shows the 'Books' configuration page in Microsoft Dynamics 365 for the 'ACC-STLINE' book. The left sidebar lists various asset types and methods, including 'ACC-STLINE', '10%-RBM', '15%-RBM', '20%-RBM', '3.5%-RBM', '30%-RBM', '5%-RBM', 'BUILDING', and 'LAND'. The main area is titled 'Books' and shows the configuration for the 'ACC-STLINE' book. The 'General' section includes settings for depreciation, such as 'Calculate depreciation' (Yes), 'Depreciation profile' (Accounting), 'Round off depreciation' (0.00), 'Round off depreciation in reporting currency' (0.00), 'Leave net book value at' (0.00), and 'Leave net book value at reporting currency' (0.00). The 'Derived books' section shows a table with columns for 'Book' and 'Transaction type', with a row for 'TAX-RED-BL' and 'Acquisition'.

3- Fixed Asset Group

Setup the Fixed Asset Group as per the needs (in our case it is **MACHINERY**).

Standard view

Fixed asset groups

Fixed asset group: **MACHINERY** Name: **PLANT AND MACHINERY** Posting layers:

General

Type: **Tangible** Number sequence code: **BUILDING** Property type: **Fixed asset** Replacement cost factor: 0.00

Major type: **MACHINERY** Autonumber bar codes: **No** Location: Location Bar code number sequence: Bar code number sequence

Autonumber fixed assets: **Yes** GIS layer ID: GIS layer ID Insured value factor: 0.00 Capitalization threshold: 0.00

Image

Upload new image Remove

Attach the earlier created books with the Fixed Asset Group “Machinery”

Standard view

Fixed asset groups

Fixed asset group: **MACHINERY** Name: **PLANT AND MACHINERY** Posting layers:

General

Type: **Tangible** Number sequence code: **BUILDING** Property type: **Fixed asset** Replacement cost factor: 0.00

Major type: **MACHINERY** Autonumber bar codes: **No** Location: Location Bar code number sequence: Bar code number sequence

Autonumber fixed assets: **Yes** GIS layer ID: GIS layer ID Insured value factor: 0.00 Capitalization threshold: 0.00

Image

Upload new image Remove

Special depreciation allowance Options

Asset group books

Fixed asset group: **MACHINERY** Book: **ACC-STLINE** Posting layer: **Current** Round off depreciation: 0.00 Round off depreciation in reporting cu...: 0.00

General

DEPRECIATION

Calculate depreciation: **Yes** Service life: 5.00 Depreciation periods: 60 Depreciation convention: **Full month** Method: **Straight line service life** Depreciation year: **Fiscal** Period frequency: **Fiscal period**

DEPRECIATION PROFILE

Depreciation profile: **Accounting**

ALTERNATIVE DEPRECIATION PROFILE

Depreciation profile: Depreciation profile

EXTRAORDINARY DEPRECIATION PROFILE

Depreciation profile: Depreciation profile

4- Fixed Asset Posting Profile

You need to define the fixed asset posting profile for both of the books earlier attached with our targeted fixed asset group. You can define the same accounts for both books as well.

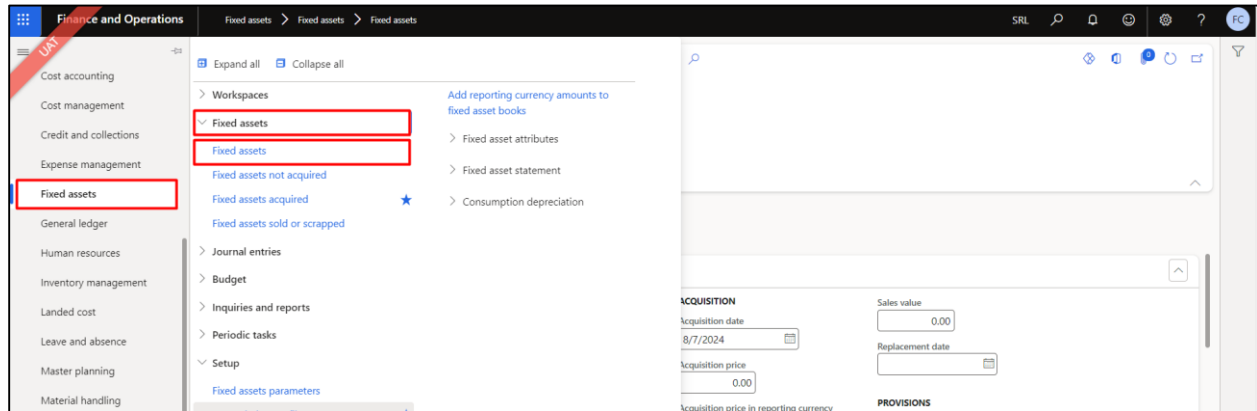
The screenshot shows the 'Fixed asset posting profiles' setup page in Microsoft Dynamics 365. The page is titled 'Fixed asset posting profiles' and shows the 'GEN' posting profile. The 'Ledger accounts' section contains a table with the following data:

Book	Yr	Groupings	Account relation	Main account	Offset account
ACC-STLINE	✓	All		3010101007	✓
TAX-RED-BL		All		3010101007	

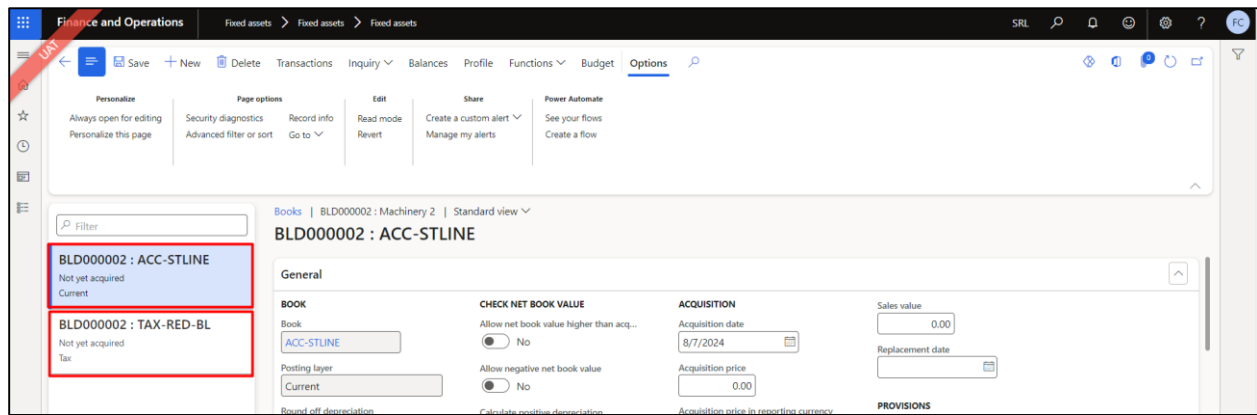
Walkthrough

1. Acquisition of Fixed Asset

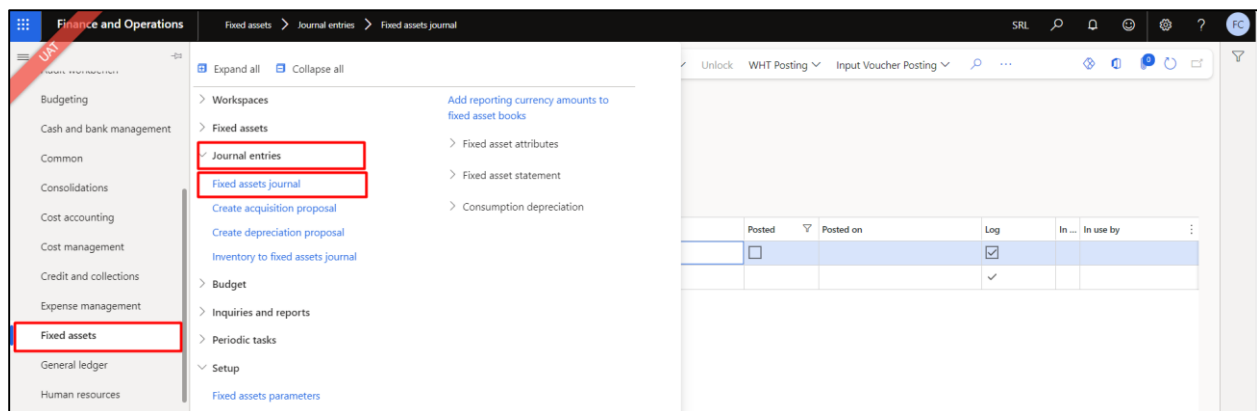
Navigate to Fixed Assets > Fixed Assets > Fixed Assets



Create new asset and you will notice both of the books (accounting and tax) attached with the fixed asset automatically with the status “not yet acquired”.



Now post the fixed asset journal by navigating to Fixed Assets > Journal Entries > Fixed Asset Journal



You just need to acquire the asset with the ACC-STLINE (that is accounting based book) only.

Operation canceled: Validating and posting journal

Fixed asset journal | NJBN004479513 : FAA

Standard view * v

List General Books History

+ New Delete Voucher Financial dimensions Budget check errors or warnings

Date	Voucher	Transaction type	Account	Account name	Book	Description	Debit	Credit	Currency
7/1/2024	FAA000135	Acquisition	BLD000002	Machinery 2	ACC-STLINE		100,000.00		PKR
7/1/2024	FAA000136	Acquisition	BLD000006	Machinery 6	ACC-STLINE		500,000.00		PKR

After posting the voucher, let's have a look at it.

You will notice that automatically two different transactions will be posted. One for the current layer and the other one for the Tax layer.

View subledger journal Transaction origin Transactions Audit trail Edit voucher Posted sales tax Original document Accounting source explorer Reverse transactions

Voucher transactions | NJBN004479513 : FAA000135

Standard view * v

Overview General

Journal number	Voucher	Date	Posting layer	Ledger account	Account name	Currency	Amount in transaction currency
NJGT006404072	FAA000135	7/1/2024	Current	6010101018-BN001-HO000-Head Office...	Reward Money	PKR	-100,000.00
NJGT006404072	FAA000135	7/1/2024	Current	3010101007-HO000-Head Office-3002	Computers Cost	PKR	100,000.00
NJGT006404073	FAA000135	7/1/2024	Tax	6010101018-BN001-HO000-Head Office...	Reward Money	PKR	-100,000.00
NJGT006404073	FAA000135	7/1/2024	Tax	3010101007-HO000-Head Office-3002	Computers Cost	PKR	100,000.00

View subledger journal Transaction origin Transactions Audit trail Edit voucher Posted sales tax Original document Accounting source explorer Reverse transactions

Voucher transactions | NJBN004479513 : FAA000136

Standard view * v

Overview General

Journal number	Voucher	Posting layer	Date	Ledger account	Account name	Currency	Amount in transaction currency
NJGT006404074	FAA000136	Current	7/1/2024	3010101007-HO000-M0001LHR-3002	Computers Cost	PKR	500,000.00
NJGT006404074	FAA000136	Current	7/1/2024	6010101018-BN001-HO000-Head Office...	Reward Money	PKR	-500,000.00
NJGT006404075	FAA000136	Tax	7/1/2024	3010101007-HO000-M0001LHR-3002	Computers Cost	PKR	500,000.00
NJGT006404075	FAA000136	Tax	7/1/2024	6010101018-BN001-HO000-Head Office...	Reward Money	PKR	-500,000.00

Let's run the trial balance and check the impact

You will select the relevant **Posting Layer** to check the impact on that particular Layer like we can select tax where we will notice only those transactions posted with Tax layer.

Operation completed

Accounting source explorer All transactions Fiscal year transactions By currency Period Cash flow forecasts Columns to display Trial balance snapshots Options

Personalize Page options Share Power Automate

Personalize this page Add to workspace Security diagnostics Advanced filter or sort Record info Get a link Create a custom alert Manage my alerts See your flows Create a flow

Trial balance

Standard view *

DATE RANGE

From date: 7/1/2024 To date: 7/1/2024 Date interval:

DATA TO INCLUDE

Financial dimension set: Main account set: Posting layer: Tax

Calculate balances

Filter

MainAccount	Name	Opening balance	Debit	Credit	Closing balance
3010101007	Computers Cost	0.00	600,000.00	0.00	600,000.00
6010101018	Reward Money	0.00	0.00	600,000.00	-600,000.00

Now post the depreciation journal for the Accounting purpose.

Asset#2: $\{(100000/5)/12\} = 1,666.67$

Asset#6: $\{(500000/5)/12\} = 8,333.33$

Operation completed

Save Post Validate Functions Proposals Inquiries Print Options

Fixed asset journal | NIBN004479515 : FADEP

Standard view *

List General Books History

+ New Delete Voucher Financial dimensions Budget check errors or warnings

Date	Voucher	Transaction type	Account	Account name	Book	Description	Debit	Credit	Currency
7/31/2024	FADEP085521	Depreciation	BLD000002	Machinery 2	ACC-STLINE		1,666.67		PKR
7/31/2024	FADEP085522	Depreciation	BLD000006	Machinery 6	ACC-STLINE		8,333.33		PKR
Total								Sum	
2 rows								10,000.00	

CURRENCY REPORTING CURRENCY

Before calculating the depreciation for the tax layer or tax related books, lets create a journal so that these are segregated and tax layer is already selected there.

Navigate to General Journal > Journal Setup > Journal Names

The screenshot shows the 'Journal names' setup page in Microsoft Dynamics 365. The left navigation pane has 'General ledger' expanded, with 'Journal setup' and 'Journal names' highlighted. The main area shows the 'Journal names' form for 'ALAP' (Asset Leasing AP Invoice). The 'General' tab is active, showing fields for 'Journal type', 'New voucher', 'Detail level', 'APPROVAL', 'APPROVAL WORKFLOW', 'BLOCKING', 'OFFSET ACCOUNT PROPOSAL', 'CURRENCY', and 'SALES TAX'.

Select the **Journal type** = “Post fixed assets” and **Posting Layer** = Tax

The screenshot shows the 'Journal names' setup page in Microsoft Dynamics 365 for 'TAX-DEP' (Tax Depreciation). The left navigation pane has 'TAX-DEP' highlighted. The main area shows the 'Journal names' form for 'TAX-DEP'. The 'General' tab is active, showing fields for 'Journal type', 'BLOCKING', 'OFFSET ACCOUNT PROPOSAL', 'Fees posting', 'APPROVAL', 'VOUCHER NUMBER', 'APPROVAL WORKFLOW', 'Posting layer', 'CURRENCY', and 'SALES TAX'. The 'Journal type' is set to 'Post fixed assets' and the 'Posting layer' is set to 'Tax'.

Now, we can run the tax depreciation. The process will be same as for the accounting depreciation but we will only use our journal TAX-DEP.

Fixed asset journal

Standard view

Show: Not posted

Show user-created only

List General Setup Blocking Financial dimensions History Financial tags

Journal batch number	Name	Description	Posted	Posted on	Log	In use by
NIBN004479516	TAX-DEP	Tax Depreciation	☐		☐	

Now post the depreciation journal for the Tax purpose.

Asset#2: $\{(100000 * 0.3) / 12\} = 2,500$

Asset#6: $\{(500000 * 0.3) / 12\} = 12,500$

Operation completed

Fixed asset journal | NIBN004479516 : TAX-DEP

Standard view

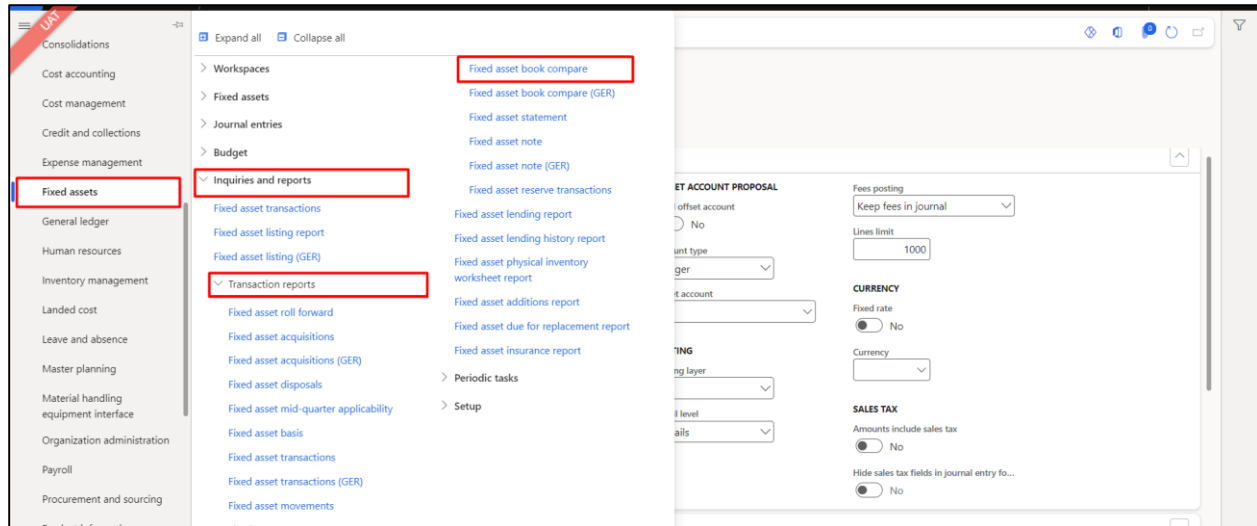
List General Books History

+ New Delete Voucher Financial dimensions Budget check errors or warnings

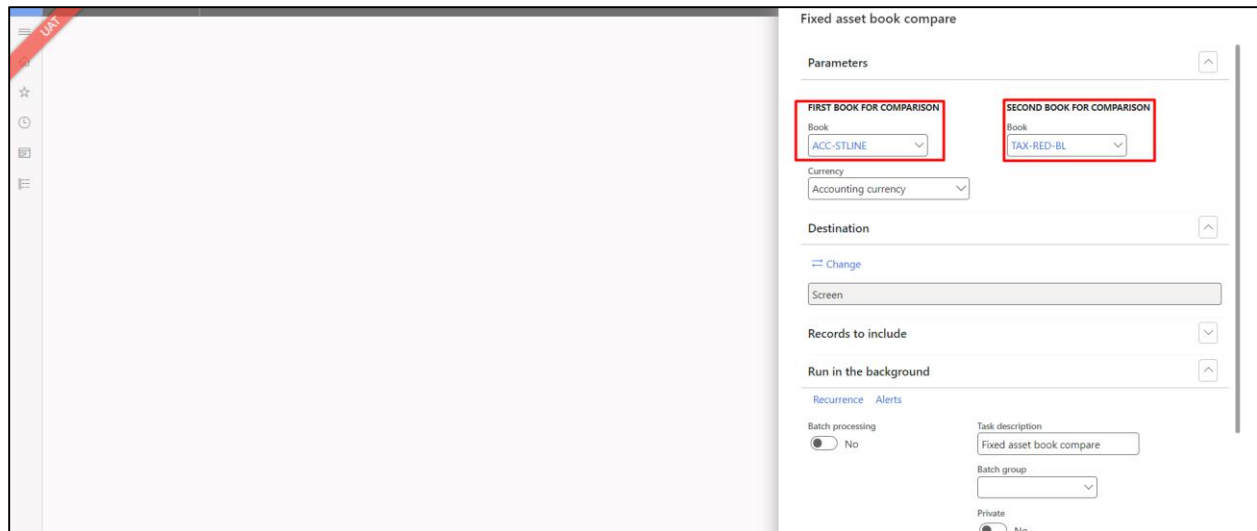
Date	Voucher	Transaction type	Account	Account name	Book	Description	Debit	Credit	Currency
7/31/2024	TAXDEP-0000000002	Depreciation	BLD000002	Machinery 2	TAX-RED-BL			2,500.00	PKR
7/31/2024	TAXDEP-0000000003	Depreciation	BLD000006	Machinery 6	TAX-RED-BL			12,500.00	PKR
Total	2 rows							Sum	15,000.00

CURRENCY REPORTING CURRENCY

To compare both the Books, we have a default report available that is “Fixed asset book compare”



Define the first book and the second book for which comparison is required



Fixed asset book compare

Currency: Accounting currency

Fixed asset name	Fixed asset number	Name	Status	Book	Date when depreciation was first run	Depreciation method	Depreciation convention	Cost basis	YTD depreciation	Accumulated depreciation	Net book value
MACHINERY	BLD000002	Machinery 2	Open	ACC-STUNE	7/31/2024	Straight line service	Full month	100,000.00	-1,666.67	-1,666.67	98,333.33
MACHINERY	BLD000002	Machinery 2	Open	TAX-RED-BL	7/31/2024	Reducing balance	Full month	100,000.00	-2,500.00	-2,500.00	97,500.00
Total								0.00	833.33	833.33	833.33
MACHINERY	BLD000006	Machinery 6	Open	ACC-STUNE	7/31/2024	Straight line service	Full month	500,000.00	-8,333.33	-8,333.33	491,666.67
MACHINERY	BLD000006	Machinery 6	Open	TAX-RED-BL	7/31/2024	Reducing balance	Full month	500,000.00	-12,500.00	-12,500.00	487,500.00
Total								0.00	4,166.67	4,166.67	4,166.67
ACC-STUNE Grand total								600,000.00	-10,000.00	-10,000.00	590,000.00
TAX-RED-BL Grand total								600,000.00	-15,000.00	-15,000.00	585,000.00
Total difference								0.00	5,000.00	5,000.00	5,000.00

Fixed asset book compare

Currency : Accounting currency

Fixed asset group	Fixed asset number	Name	Status	Book	Date when depreciation was last run	Depreciation method	Depreciation convention	Cost basis	YTD depreciation	Accumulated depreciation	Net book value
MACHINERY	BLD000002	Machinery 2	Open	ACC-STLINE	7/31/2024	Straight line service life	Full month	100,000.00	-1,666.67	-1,666.67	98,333.33
MACHINERY	BLD000002	Machinery 2	Open	TAX-RED-BL	7/31/2024	Reducing balance	Full month	100,000.00	-2,500.00	-2,500.00	97,500.00
Total								0.00	833.33	833.33	833.33
MACHINERY	BLD000006	Machinery 6	Open	ACC-STLINE	7/31/2024	Straight line service life	Full month	500,000.00	-8,333.33	-8,333.33	491,666.67
MACHINERY	BLD000006	Machinery 6	Open	TAX-RED-BL	7/31/2024	Reducing balance	Full month	500,000.00	-12,500.00	-12,500.00	487,500.00
Total								0.00	4,166.67	4,166.67	4,166.67
ACC-STLINE Grand total								600,000.00	-10,000.00	-10,000.00	590,000.00
TAX-RED-BL Grand total								600,000.00	-15,000.00	-15,000.00	585,000.00
Total difference								0.00	5,000.00	5,000.00	5,000.00